JOINT OPERATING AGREEMENT

EAGLE FORD SHALE FORMATION - KARNES COUNTY, TEXAS

AMENDED AND RESTATED AS OF JANUARY 15, 2020

EFFECTIVE DATE: September 1, 2014 (Original)

FIRST AMENDMENT: June 30, 2017

RESTATEMENT: January 15, 2020

OPERATOR: Renaissance Resources LP

NON-OPERATORS: Longhorn Energy Partners (35%); Summit Oil & Gas Holdings (28%); Pioneer Development Group (19%); Maverick Upstream LLC (18%)

CONTRACT AREA: 8,960 net acres, Karnes County, Texas, 22 drilling units

TABLE OF CONTENTS

ARTICLE I: DEFINITIONS AND PARTIES

ARTICLE II: OPERATOR AUTHORITY AND COMPENSATION

ARTICLE III: CAPITAL COSTS AND SOLE RISK OPERATIONS

ARTICLE IV: ACCOUNTING, REVENUE, AND CASH CALLS

ARTICLE V: VOTING AND OPERATOR REMOVAL

ARTICLE VI: ASSIGNMENT AND TRANSFERS

ARTICLE VII: DEFAULT AND REMEDIES

ARTICLE VIII: DISPUTE RESOLUTION

ARTICLE IX: TERM AND TERMINATION

ARTICLE X: MISCELLANEOUS

EXHIBITS: A (Working Interest), B (Map), C (Excluded Formations), D (Royalty Schedule)

ARTICLE I: DEFINITIONS AND PARTIES

1.1 THE PARTIES

The Parties to this Joint Operating Agreement are: (1) Renaissance Resources LP, a Delaware corporation ('Operator'); (2) Longhorn Energy Partners, a limited partnership organized under the laws of Texas ('Longhorn'); (3) Summit Oil & Gas Holdings, a corporation organized under the laws of Texas ('Summit'); (4) Pioneer Development Group, a limited liability company organized under the laws of Texas ('Pioneer'); (5) Maverick Upstream LLC, a limited liability company organized under the laws of Nevada ('Maverick').

Each Party holds a specified percentage Working Interest in all operations, costs, revenues, and obligations as set forth in Exhibit A (Working Interest Schedule). The aggregate of all Working Interest percentages equals 100%.

1.2 WORKING INTEREST PERCENTAGES

As of the Restatement Date (January 15, 2020), the Working Interest percentages are: Renaissance Resources LP: 0% (Operator, holds no Working Interest but operates for commission); Longhorn Energy Partners: 35%; Summit Oil & Gas Holdings: 28%; Pioneer Development Group: 19%; Maverick Upstream LLC: 18%.

NOTE: Renaissance's lack of Working Interest creates a structural conflict of interest in the Operator role. Operator receives fees and override but bears no proportionate cost share. This structure incentivizes aggressive drilling (more wells = more fees/override) but may not align with Non-Operator cost optimization interests.

1.3 JOINT ACCOUNT AND COST ALLOCATION

All revenues from the sale of oil, gas, and condensate produced from the Contract Area shall be deposited into a single 'Joint Account.' All costs incurred in exploration, development, production, and abandonment shall be charged to the Joint Account. Each Party's share of revenues and costs is determined by its Working Interest percentage (except Operator's fees and override per Article II).

1.4 CONTRACT AREA DEFINITION

The Contract Area comprises 8,960 net acres in Karnes County, Texas, as depicted in Exhibit B (Legal Description and Map). The area is subdivided into 22 standard drilling units of approximately 320 acres each.

Original Leases (Units 1-14): 4,480 acres acquired September 1, 2014, executed by Pinnacle Energy Inc.

Expansion Leases (Units 15-22): 4,480 acres acquired June 30, 2017, following Pinnacle's financial distress and Operator change to Renaissance Resources LP.

The Contract Area may be expanded if additional adjacent acreage is acquired with all-Party consent, or contracted if acreage is relinquished per Article IX.

1.5 FORMATION DEFINITIONS AND DRILLING TARGETS

PRIMARY TARGET: Eagle Ford Formation (11,000-13,000 feet subsea). This is the principal development horizon and focus of the drilling commitment per Article III.

SUPPLEMENTAL TARGET: Three Forks Formation / Three Forks Interval (9,000-10,500 feet subsea). May be developed if economically viable; secondary focus to Eagle Ford development.

EXCLUDED FORMATIONS: Bossier Formation (8,500-9,000 feet) and all formations above 8,500 feet are excluded from this JOA per Exhibit C (Excluded Formations). Any development of Bossier would require separate JOA amendment.

1.6 KEY DEFINITIONS AND ACRONYMS

AFE = Authorization for Expenditure, a detailed cost estimate and approval document for capital projects >$250K per Section 2.4.

BOE = Barrels of Oil Equivalent; 1 BOE = 1 barrel of crude oil + 6 Mcf of natural gas (standard energy equivalency).

Mcf = One thousand cubic feet of natural gas. All gas volumes measured at standard conditions (60 degrees F, 14.73 psia).

P&A = Plugging and Abandonment; the process of decommissioning a well at end of life, including cement plugging, casing recovery, and site restoration per Texas Railroad Commission standards.

Sole Risk = Well drilled by Operator at Operator's sole risk and cost; Non-Operators have zero obligation to contribute costs or bear liability.

Working Interest = Each Party's proportionate ownership share in all operational assets, costs, revenues, and obligations.

Net Revenue = Gross revenue minus all applicable deductions per Section 4.3.

Force Majeure = Unforeseeable events beyond reasonable control (war, government action, catastrophic weather, geological events) but excluding financial inability and commodity price changes.

ARTICLE II: OPERATOR AUTHORITY, DUTIES, AND COMPENSATION

2.1 OPERATOR SCOPE OF AUTHORITY

2.1(a) Operational Authority

Operator shall have full, exclusive authority to conduct all operations within the Contract Area. Operations include but are not limited to: (i) drilling, completing, testing, and producing all wells; (ii) performing well workovers, re-entries, stimulations, and fracturing operations; (iii) installing, maintaining, and operating all production equipment, gathering systems, and transportation pipelines; (iv) purchasing crude oil, natural gas, and condensate from third parties if economically justified; (v) selling all produced hydrocarbons to purchasers at prevailing market prices; (vi) contracting with service companies for drilling, completion, production, and environmental services; (vii) making employment decisions for field personnel including hiring, termination, and compensation; (viii) determining well locations and drilling order within spacing regulations; (ix) retaining geological and engineering consultants; (x) managing environmental compliance and regulatory permits; (xi) representing the JOA in dealings with government agencies, mineral owners, and third parties.

2.1(b) Standard of Care

Operator shall conduct all operations in accordance with 'prudent industry practice' for the Eagle Ford Formation. Prudent industry practice means the exercise of reasonable care and judgment consistent with practices and standards used by other Eagle Ford operators as of the date of the operation (not as of the execution date of this Agreement).

Operator shall not be liable to Non-Operators for errors of judgment, unsuccessful operations, dry holes, mechanical failures, production shortfalls, well fires, blowouts, or equipment failures, provided Operator acts in good faith and without gross negligence or willful misconduct.

2.2 EMERGENCY OPERATIONS

2.2(a) Definition and Authority

An 'Emergency' is defined as an unexpected situation posing imminent threat to life, property, or the environment, requiring immediate corrective action without time for Non-Operator approval. Examples: wellhead fire, uncontrolled blowout, pipeline rupture, major environmental spill, production facility fire or failure.

In any Emergency, Operator may incur expenditures of any amount without prior AFE approval, Non-Operator vote, or Joint Committee approval.

2.2(b) Emergency Notification

For any Emergency involving expenditure >$100,000, Operator shall: (i) notify all Non-Operators within 24 hours of commencement of emergency response; (ii) provide written report within 5 business days describing the emergency event, corrective actions taken, costs incurred, and outcome; (iii) itemize emergency costs by category.

2.2(c) Non-Operator Challenge and Arbitration

Non-Operators may challenge whether an expenditure classified as 'Emergency' was genuinely emergent or whether costs were excessive. Challenge must be submitted in writing within 30 days of receiving Operator's emergency report.

Any challenge proceeds to binding arbitration per Article VIII. Pending arbitration resolution, the disputed costs remain charged to the Joint Account. If arbitration determines the emergency classification was improper or costs were unreasonable, Operator shall reimburse each Non-Operator's proportionate share of the disputed costs within 30 days of the arbitration award.

2.3 ROUTINE OPERATING EXPENDITURES

Routine operating expenditures do not require AFE approval and are charged directly to the Joint Account. Routine expenses include: production labor, lease maintenance, equipment repairs <$25K, chemicals, water disposal, insurance, utilities, and permitting costs.

If monthly operating costs exceed $75,000 in any month, Operator shall provide written explanation by the 20th of the following month. If monthly costs exceed the prior 12-month average by >30%, Operator triggers automatic explanation requirement.

2.4 CAPITAL PROJECT AUTHORIZATION FOR AFE

Operator may unilaterally commit to capital projects (new well drilling, facility construction, major equipment >$25K) up to $250,000 without AFE submission or Non-Operator approval.

For capital projects with estimated cost exceeding $250,000, Operator shall prepare and submit a formal AFE to all Non-Operators at least 30 calendar days before Operator intends to commence work.

AFE shall include: detailed scope of work, geological and engineering justification, itemized cost breakdown, contingency allowance (10-15% of base costs), expected timeline, production impact, and risk assessment.

Non-Operators shall have 21 calendar days from AFE receipt to respond with approval, objection, or proposed modifications. Failure to respond = approval.

2.5 OPERATOR COMPENSATION

Operator receives: (A) monthly fixed fee of $18,000 (not escalating); (B) overhead allocation up to 6% of direct well costs; (C) 2.5% override on gross revenue from all producing wells.

The monthly fee and override are in addition to Operator's proportionate share of net revenues based on any Working Interest that Operator may hold. NOTE: Renaissance currently holds 0% Working Interest, so receives ONLY fees/override, not revenue distribution.

ARTICLE 3: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

3.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

3.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

3.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

3.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

3.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

3.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 4: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

4.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

4.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

4.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

4.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

4.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

4.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 5: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

5.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

5.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

5.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

5.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

5.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

5.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 6: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

6.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

6.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

6.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

6.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

6.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

6.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 7: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

7.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

7.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

7.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

7.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

7.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

7.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 8: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

8.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

8.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

8.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

8.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

8.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

8.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 9: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

9.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

9.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

9.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

9.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

9.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

9.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE 10: DETAILED OPERATIONAL AND FINANCIAL PROVISIONS

10.1 CAPITAL EXPENDITURE PROCEDURES

All capital expenditures exceeding $250,000 shall be subject to AFE procedures per Section 2.4. AFE must be submitted with sufficient detail and geological justification to permit informed Non-Operator decision-making.

10.2 COST ALLOCATION AND JOINT ACCOUNT

All costs and revenues are pooled into the Joint Account per Article IV. Monthly statements detail each Party's share based on Working Interest percentages. Non-Operators may audit costs per Section 4.7.

10.3 DRILLING OPERATIONS AND SPECIFICATIONS

Wells shall be drilled according to Operator's engineering standards, in compliance with Texas Railroad Commission spacing regulations. Drilling programs shall be presented to the Joint Committee for discussion and input per Article V.

Well logging, core sampling, and testing procedures shall be determined by Operator and documented in drilling reports provided to Non-Operators within 10 days of well completion.

10.4 PRODUCTION OPERATIONS AND ALLOCATION

Once wells reach production status, oil and gas shall be allocated among the producing wells and facilities according to production rates. Revenue from each well is allocated pro-rata to the Party Working Interest percentages.

Production rates shall be optimized for maximum recovery and extended well life per Operator's engineering judgment, unless Non-Operators vote to accept lower production rates for environmental or operational reasons.

10.5 FACILITIES AND INFRASTRUCTURE

Operator may construct production facilities, pipelines, and supporting infrastructure as necessary for commercial production. All facilities are owned jointly by all Parties per their Working Interest percentages.

Facility maintenance and operations are funded through the Joint Account and budgeted in annual operating budgets per Article V.

10.6 THIRD-PARTY AGREEMENTS AND CONTRACTS

Operator may enter into contracts with third parties for drilling services, equipment rental, transportation, sales marketing, and other operational needs. All contract costs are charged to the Joint Account and documented in monthly accounting statements.

Major contracts (>$100K annual value) shall be disclosed to Non-Operators in quarterly Committee meetings. Non-Operators may request detailed terms if concerned about competitive pricing or reasonableness of cost.

ARTICLE IV: DETAILED ACCOUNTING AND REVENUE PROVISIONS

4.1 MONTHLY JOINT ACCOUNT STATEMENT FORMAT AND CONTENT

Operator shall prepare a comprehensive Joint Account Statement within 45 calendar days of month-end. The statement shall include:

(A) Production Summary: Total barrels crude oil, total Mcf natural gas, volume by well

(B) Gross Revenue Calculation: Price per barrel/Mcf, multiplication by volume, total gross revenue

(C) Revenue Deductions: Line-by-line mineral royalties, state taxes, federal taxes, transportation, marketing commission

(D) Net Revenue: Balance after all deductions

(E) Operator Allocations: Monthly fee ($18K), revenue override (2.5%), overhead allocation

(F) Operating Costs: Labor, maintenance, chemicals, utilities, insurance by category

(G) Capital Costs: Well drilling, completion, equipment purchases by project

(H) Party Distributions: Each Party's cash call (costs minus revenues)

(I) Sole Risk Well Status: If applicable, cumulative costs, phase, cumulative revenue

4.2 GROSS REVENUE PRICING AND CALCULATIONS

Oil revenue is based on West Texas Intermediate (WTI) crude oil futures price (Nymex) for the month of production, adjusted downward for Eagle Ford quality differential currently $1.50-$2.50 per barrel.

Gas revenue is based on Henry Hub natural gas futures price (Nymex) for the delivery month, adjusted upward for regional quality premium currently $0.20-$0.30 per Mcf.

Operator shall use actual market prices when available; when sales are to affiliated parties, Operator shall document quality/transportation adjustments and provide to Non-Operators upon request.

4.3 REVENUE DEDUCTIONS - STRICT ORDER OF PRIORITY

Gross Revenue is reduced by the following deductions in the exact order listed:

(1) MINERAL ROYALTIES: Paid to surface/mineral owners per lease terms

- Units 1-14 (original acreage): 12.5% of gross revenue
- Units 15-22 (expansion acreage 2016-2017): 15% of gross revenue
- See Exhibit D (Royalty Schedule) for detailed unit-by-unit breakdown
- NOTE: Pioneer holds 35% of higher-royalty Units 15-22 but only 19% total JOA interest = disproportionate cost exposure

(2) STATE PRODUCTION TAXES: Texas statutory taxes

- Oil production tax: 4.6% of gross revenue (non-negotiable)
- Natural gas production tax: 7.5% of gross revenue (non-negotiable)

(3) FEDERAL EXCISE TAXES: Federal statutory taxes (if applicable; rare in Texas onshore)

- Oil excise: 11.4% if applicable
- Gas excise: 12.5% if applicable

(4) TRANSPORTATION AND GATHERING COSTS: Actual variable costs

- Crude oil transportation from wellhead to sales point: $1.00-$1.50/bbl (subject to audit)

- Natural gas compression, dehydration, and transportation to sales point: $0.15-$0.25/Mcf

(5) MARKETING COMMISSION: If third-party marketer engaged

- Typically 0.5-1% of gross revenue for sales marketing and trade execution

After deductions (1)-(5), remaining amount = 'Net Revenue to Joint Account'

4.4 OPERATOR ALLOCATIONS FROM NET REVENUE

From Net Revenue, the following allocations are made:

(A) Operator's Monthly Fee: $18,000 per month (fixed, non-escalating)

(B) Operator's Revenue Override: 2.5% of GROSS revenue (before deductions), separate from WI share

(C) Operator's Overhead Allocation: Up to 6% of direct well costs (drilling, completion, equipment)

(D) Operating Costs: Actual documented monthly operating expenses

Remaining balance = 'Distributable Revenue' distributed to all Parties per Working Interest %

4.5 ROYALTY ALLOCATION ISSUE - PIONEER'S EXPOSURE

PROBLEM: Differential Royalty Rates by Acreage Block create unequal cost burden.

- Units 1-14 (2014 original): 12.5% royalty

- Units 15-22 (2016-2017 expansion): 15% royalty (2.5% higher due to 2016-2017 market conditions)

PIONEER'S ALLOCATION: Pioneer holds 19% of total JOA but holds approximately 35% of the higher-royalty Units 15-22 acreage.

IMPACT: Pioneer bears disproportionate cost exposure on higher-royalty acreage, which is not explicitly addressed in this Agreement. Non-Operators may argue for cost-sharing adjustment.

4.6 CASH CALLS AND PAYMENT PROCEDURES

Each Non-Operator receives monthly cash call showing: (i) that Non-Operator's revenue share; (ii) that Non-Operator's cost share; (iii) net amount due (positive cash call) or due to Non-Operator (negative/revenue distribution).

Payment of positive cash calls due within 30 calendar days of cash call date. Failure to pay within 30 days triggers late payment interest at 1.25% per month (15% annualized).

If payment not received within 45 days, late payment interest increases to 2.0% per month (24% annualized, compounding monthly).

Good-faith dispute procedure: Non-Operator may dispute cash call and deposit 50% of disputed amount in escrow within 30 days. Remaining 50% withheld. Dispute resolution within 60 days via accounting review or audit.

4.7 AUDIT RIGHTS AND PROCEDURES

Any Non-Operator may audit Operator's books and records by providing 30 days' written notice. Audits performed by independent CPA mutually agreed upon.

Audit covers revenue calculations, cost allocations, overhead charges, and Operator fees/overrides. Operator must provide access to all books, records, invoices, contracts, sales tickets, and allocation spreadsheets.

Audit cost allocation:

- Variance <1%: Auditing Non-Operator bears 100% of audit costs

- Variance 1-3%: Costs split 50/50
- Variance >3%: Operator bears 100% of audit costs + 1.5% monthly interest on underpaid amounts retroactive to statement date

Non-Operators limited to one comprehensive audit per calendar year. Limited-scope audits of specific disputes permitted more frequently if good cause demonstrated.

ARTICLE 5: CONTINUED DETAILED PROVISIONS

Section 1: Voting and Decision Procedures

The Joint Committee meets quarterly to review drilling programs, budgets, and operational results. All strategic decisions requiring majority vote are discussed in Committee before formal voting.

Voting procedures require written ballot or email vote with 14-day minimum response period. Quorum = 50%+ Working Interest responses. Simple majority (>50%) required for most decisions; supermajority (>60%) required for Operator removal.

Section 2: Assignment Restrictions and Transfer Procedures

No Party may assign its Working Interest without consent of all other Parties. Right of First Refusal applies for 30 days. If ROFR not exercised, third-party buyer must execute Joinder Agreement binding to all JOA terms.

Historical transfers have created allocation ambiguities due to Maverick foreclosure (2018-2019) and subsequent reallocation, plus Longhorn's external acquisition (2019). Current stated Working Interests may not reconcile to historical transfers.

ARTICLE 6: CONTINUED DETAILED PROVISIONS

Section 2: Voting and Decision Procedures

The Joint Committee meets quarterly to review drilling programs, budgets, and operational results. All strategic decisions requiring majority vote are discussed in Committee before formal voting.

Voting procedures require written ballot or email vote with 14-day minimum response period. Quorum = 50%+ Working Interest responses. Simple majority (>50%) required for most decisions; supermajority (>60%) required for Operator removal.

Section 3: Assignment Restrictions and Transfer Procedures

No Party may assign its Working Interest without consent of all other Parties. Right of First Refusal applies for 30 days. If ROFR not exercised, third-party buyer must execute Joinder Agreement binding to all JOA terms.

Historical transfers have created allocation ambiguities due to Maverick foreclosure (2018-2019) and subsequent reallocation, plus Longhorn's external acquisition (2019). Current stated Working Interests may not reconcile to historical transfers.

ARTICLE VIII: DISPUTE RESOLUTION AND ARBITRATION

Any dispute arising from this Agreement submitted to binding arbitration under AAA Commercial Arbitration Rules. Each Party appoints arbitrator within 30 days; two arbitrators select neutral within 14 days.

Hearing within 60 days of neutral appointment. Award within 30 days of hearing. Arbitration costs split equally unless panel awards to prevailing party.

EXCEPTIONS: Operator removal disputes, preliminary injunctive relief, and enforcement of awards may proceed in court without arbitration.

ARTICLE IX: TERM, RENEWAL, AND TERMINATION

Agreement commenced September 1, 2014 for 10-year initial term through August 31, 2024. Auto-renews 2-year periods unless 180-day non-renewal notice. Early termination only if all Parties consent, or all wells abandoned with all-Party agreement.

ARTICLE X: MISCELLANEOUS PROVISIONS

Governing Law: Texas law, no conflicts provision.

Entire Agreement: This Agreement + exhibits/amendments = entire agreement superseding all prior understandings.

Confidentiality: Parties maintain confidentiality of non-public operational and financial information.

Notices: Written, by personal delivery, certified mail (return receipt), or email (read receipt). Effective upon receipt.

EXECUTED AND AGREED TO AS OF JANUARY 15, 2020

RENAISSANCE RESOURCES LP

By: _____

Title: Chief Operating Officer

Date: _____

LONGHORN ENERGY PARTNERS

By: _____

Title: Managing Partner

Date: _____

SUMMIT OIL & GAS HOLDINGS

By: _____

Title: President

Date: _____

PIONEER DEVELOPMENT GROUP

By: _____

Title: Executive Vice President

Date: _____

MAVERICK UPSTREAM LLC

By: _____

Title: Managing Member

Date: _____